LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Foreign Investor Debt Participation ?

Developed by www.loanbazaaronline.com

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Module 1: Product Overview & Core Fundamentals

1.1 Conceptual Framework & Statutory Definition

Foreign Investor Debt Participation (FIDP) represents a sophisticated cross-border structured credit architecture that enables non-resident institutional investors—including Foreign Portfolio Investors (FPIs), Foreign Venture Capital Investors (FVCIs), Multilateral Development Banks (MDBs), Sovereign Wealth Funds (SWFs), Global Private Credit Funds, and Overseas Institutional Lenders—to participate directly in Indian Rupee (INR) denominated corporate debt instruments and structured credit obligations.

Under the regulatory framework governed by the **Reserve Bank of India (RBI)**, the **Securities and Exchange Board of India (SEBI)**, and the **Foreign Exchange Management Act, 1999 (FEMA)**, Foreign Investor Debt Participation provides Indian corporates, infrastructure developers, Non-Banking Financial Companies (NBFCs), and housing finance institutions with access to deep, long-term global liquidity pools without diluting equity ownership or assuming unhedged foreign currency exchange risk.

Unlike cross-border equity investments (Foreign Direct Investment - FDI) that convey voting control and residual equity upside, or plain-vanilla External Commercial Borrowings (ECBs) that are subject to rigid RBI All-in-Cost ceilings and statutory Minimum Average Maturity Periods (MAMP), Foreign Investor Debt Participation operates primarily through INR-denominated debt instruments—most notably Non-Convertible Debentures (NCDs), Commercial Papers (CPs), Security Receipts (SRs), and Pass-Through Certificates (PTCs)—privately placed or listed on recognized stock exchanges (BSE, NSE, or GIFT City IFSC exchanges).

COMPARATIVE MATRIX OF **FOREIGN DEBT PARTICIPATION ROUTES** IN INDIA (image_0.png reference)

PARAMETER	FPI - GENERAL ROUTE	FPI - VOLUNTARY RETENTION ROUTE (VRR)	EXTERNAL COMMERCIAL BORROWINGS (ECB)
Investment Instrument	FPI Borrower INR-denominated NCDs, Government Securities.	FPI Borrower INR/FCY-denominated NCDs (as per Module 2 of image_0.png)	FPI Borrower FCY Loans, Bonds, etc.
Minimum Residual Maturity	Generally 3 years (as per Answer 1 of image_0.png), unless specific exemptions.	No minimum residual maturity restriction (Answer 5 of image_0.png)	Based on average maturity period.
Concentration Limit	20% single-group concentration cap.	Exempt from the 20% single-group concentration cap (Answer 5 of image_0.png)	Borrowing limit based on net worth, etc.
Security Creation	Collateral, Guarantees (Promoter Pledge, etc., as Section 6.2 of image_0.png)	Collateral, Guarantees (Promoter Pledge, etc., as detal Section 6.2 of image_0.png)	Collateral, Guarantees (Promoter Pledge, etc., as Section 6.2 of image_0.png)

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1.2 The Global Yield Arbitrage & Credit Substitution Principle

The foundational economic rationale driving Foreign Investor Debt Participation rests on the **Yield Arbitrage Principle** and the **Credit Substitution Mechanism**:

1. **Global Yield Arbitrage:** Institutional investors in developed markets (US, Europe, Japan) frequently face low nominal yields on benchmark sovereign paper (2.5% to 4.5%). By participating in Indian corporate debt structured via FPI debt routes or the Voluntary Retention Route (VRR), foreign investors capture attractive credit spreads yielding 8.5% to 12.5% in INR. When combined with customized currency hedging mechanisms (Cross-Currency Swaps or Forward Contracts), foreign debt participants achieve net inflation-adjusted risk-adjusted returns significantly superior to domestic OECD debt markets.
2. **Credit Substitution:** For Indian corporates, domestic commercial banks are constrained by RBI Single and Group Borrower Exposure Limits (capping bank exposure at 20% to 25% of Tier-1 capital) and rigid Asset-Liability Management (ALM) buckets (rarely extending beyond 7 to 10 years). Foreign Investor Debt Participation substitutes or augments domestic bank credit by introducing global pension funds, insurance companies, and private credit funds capable of absorbing 10 to 15-year bullet or structured amortization debt profiles.

1.3 Key Financial Terms & Regulatory Parameters

To master Foreign Investor Debt Participation, trainees must understand key statutory and operational definitions:

- **Foreign Portfolio Investor (FPI):** A person or entity registered under SEBI (Foreign Portfolio Investors) Regulations, 2019, categorized as Category I (Sovereign funds, Central Banks, MDBs, Regulated Pension Funds) or Category II (Regulated funds, Corporate bodies, Family offices).
- **Voluntary Retention Route (VRR):** A dedicated RBI window established to encourage long-term FPI investment in Indian debt. Under VRR, foreign investors commit to retain a minimum percentage (at least 75%) of their investment in India for a committed retention period (minimum 3 years), in exchange for total exemption from macro-prudential caps (such as the 20% single-group concentration cap and 1-year residual maturity limits).
- **Fully Accessible Route (FAR):** A specialized RBI channel allowing non-residents to invest in specified Government Securities without any quantitative ceiling.
- **Non-Convertible Debentures (NCDs):** Senior, secured or unsecured, rated or unrated debt securities issued by Indian entities under SEBI (Issue and Listing of Non-Convertible Securities) Regulations, 2021, and Section 71 of the Companies Act, 2013.
- **Debenture Trustee:** A SEBI-registered independent financial institution appointed under Section 71(5) of the Companies Act, 2013, to hold security on behalf of NCD holders and enforce rights upon default.

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Module 2: Investment Routes & Transactional Architecture

2.1 Comparative Matrix of Foreign Debt Participation Routes

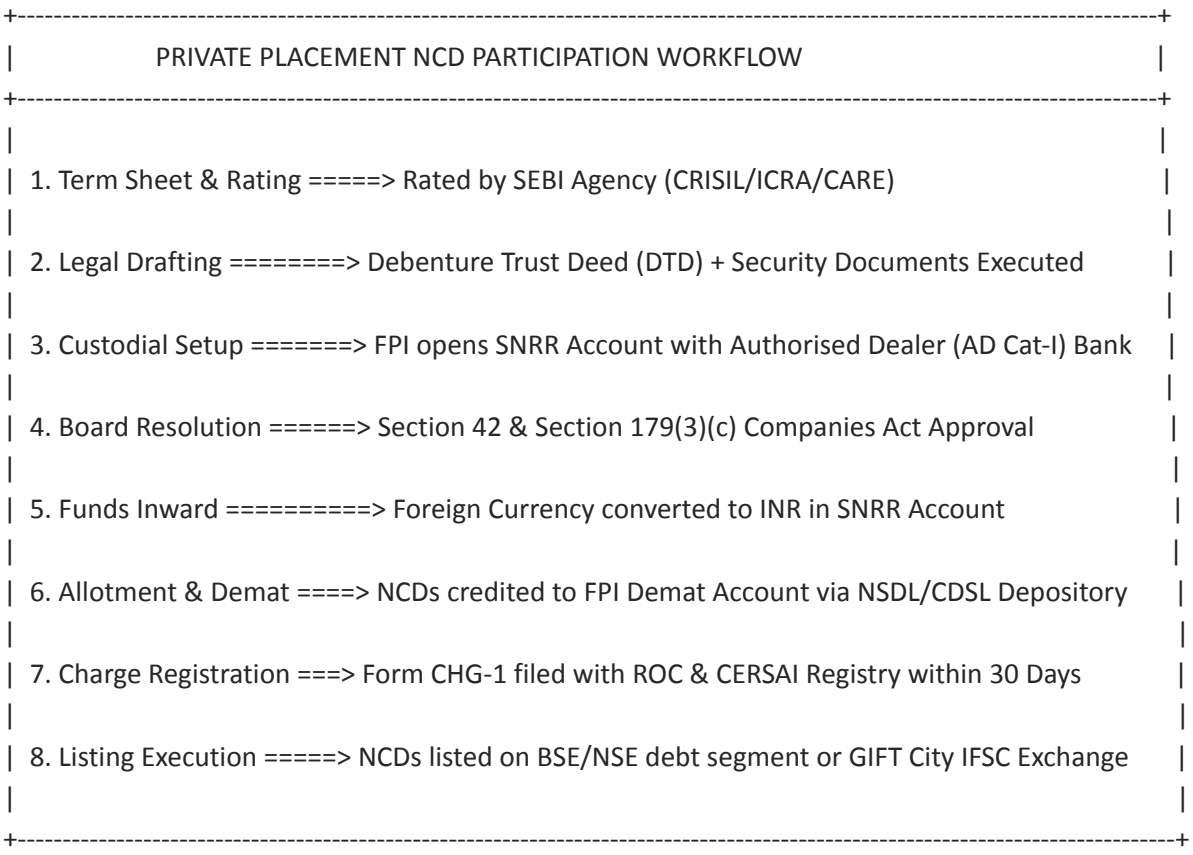
Foreign institutional debt capital enters India through four distinct regulatory channels, each with specific macro-prudential boundaries, taxation profiles, and structural flexibility.

Dimension / Parameter	General FPI Debt Route	Voluntary Retention Route (VRR)	External Commercial Borrowing (ECB)	Foreign Venture Capital Investor (FVCI)
Governing Authority	RBI & SEBI FPI Rules	RBI VRR Directions	RBI Foreign Exchange Dept.	SEBI FVCI Regulations
Eligible Instruments	Listed/Unlisted NCDs, CPs, G-Secs	Corporate NCDs, CPs, G-Secs	Foreign Currency / INR Loans	Debentures / Debt in Startups/Infrastructure
All-in-Cost Ceiling	Market-determined / Negotiated	Market-determined / Negotiated	SOFR + 450 bps p.a. cap	Market-determined / Negotiated
Retention Commitment	None (1-year residual maturity)	Minimum 3-Year committed retention	Minimum Average Maturity (3-5 Yrs)	According to underlying fund term
Concentration Cap	Max 20% to single corporate group	EXEMPT from 20% cap	Single lender permitted	Sector-specific limits apply
Minimum Maturity	1 Year residual maturity	Flexible (overall portfolio retention)	3 Years (5 Yrs for >$50M)	No minimum residual maturity cap
End-Use Restrictions	Prohibited from real estate/capital markets	Flexible corporate end-uses	Strict negative list (no working capital)	Startup & Infra infrastructure expansion
Withholding Tax (TDS)	5% (Sec 194LD) / 20% (Sec 195)	5% (Sec 194LD) / 20% (Sec 195)	5% (Sec 194LC) / DTAA rates	DTAA rates / Sec 195 rates

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2.2 Structural Anatomy of a Private Placement NCD Participation

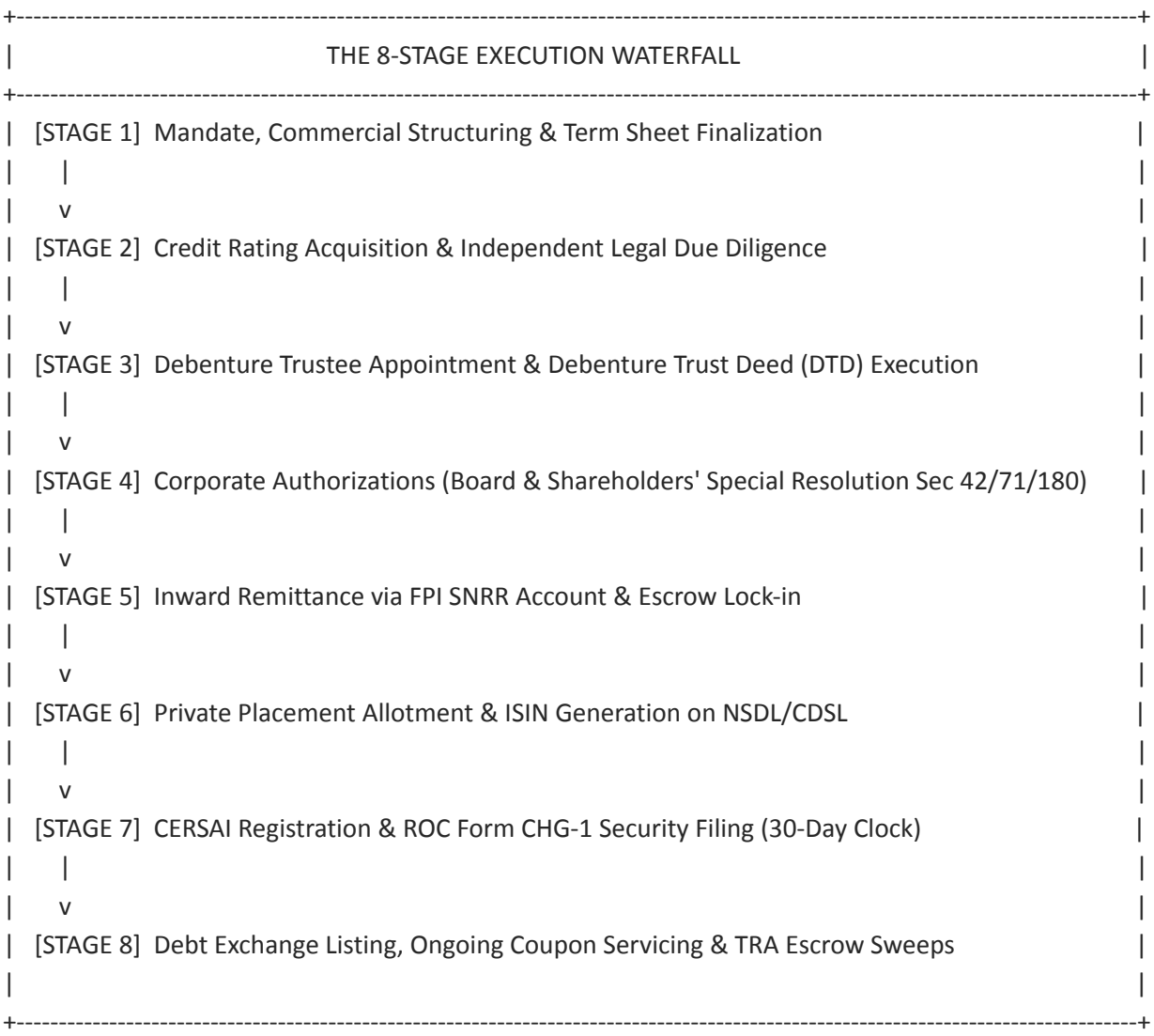
When an overseas institutional fund participates in Indian debt via INR Non-Convertible Debentures, the transaction operates through an end-to-end legal and custodial framework:



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Module 3: Operational Lifecycle & 8-Stage Execution Waterfall

The execution of a Foreign Investor Debt Participation facility requires disciplined adherence to regulatory timelines, SEBI issue procedures, RBI exchange control directions, and corporate secretarial mandates.



3.1 Stage-by-Stage Breakdown

Stage 1: Mandate & Commercial Structuring

The Indian corporate borrower and the overseas institutional debt investor execute a binding Term Sheet defining key commercial and structural terms: principal facility quantum in INR (₹), coupon rate, interest payment frequency (quarterly/semi-annually), amortization schedule (bullet vs. structured principal cash sweeps), security package, financial covenants, and chosen investment route (VRR vs. General FPI Debt Route).

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Stage 2: Credit Rating & Legal Due Diligence

In compliance with SEBI Regulations, the proposed debt instrument must undergo formal credit rating by a SEBI-registered Credit Rating Agency (CRISIL, ICRA, CARE, or India Ratings). Concurrently, international and Indian legal counsel conduct comprehensive title search, corporate due diligence, regulatory compliance verification (FEMA/RBI limits), and security asset verification.

Stage 3: Debenture Trustee & Documentation Execution

The issuer appoints a SEBI-registered Debenture Trustee. The parties draft and execute the core legal documentation: 1. **Debenture Trust Deed (DTD):** Outlining terms of issuance, coupon servicing, redemption dates, representation and warranties, affirmative and negative covenants, and events of default. 2. **Deed of Hypothecation & Mortgage Documents:** Establishing primary and collateral charges over fixed assets, current assets, shares, and cash flow escrows. 3. **Trust & Retention Account (TRA) Agreement:** Governing cash flow sweeps and debt servicing priority.

Stage 4: Corporate Secretarial Approvals

The issuer convenes a Board of Directors meeting and Extraordinary General Meeting (EGM) to pass necessary corporate resolutions under the **Companies Act, 2013**: * **Section 179(3)(c):** Authorizing the borrowing of money. * **Section 180(1)(c):** Special resolution approving borrowing limits in excess of paid-up capital and free reserves. * **Section 180(1)(a):** Special resolution authorizing creation of security/mortgage over corporate assets. * **Section 42:** Approval of Private Placement Offer Letter (Form PAS-4).

Stage 5: Inward FX Remittance & Conversion

The foreign investor remits convertible foreign currency (USD, EUR, GBP) to its **Special Non-Resident Rupee (SNRR) Account** maintained with an Authorised Dealer Category-I (AD Cat-I) Bank in India. The AD Cat-I bank converts foreign funds into Indian Rupees (₹) at prevailing spot exchange rates, issuing a Foreign Inward Remittance Certificate (FIRC) / KYC confirmation.

Stage 6: Allotment & ISIN Generation

Upon receipt of subscription funds in the issuer’s designated escrow account, the Board Allotment Committee formally allots NCDs to the FPI within 60 days. The issuer secures an International Securities Identification Number (ISIN) from NSDL/CDSL depositories, and the NCDs are credited in dematerialized form to the FPI’s demat account.

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Stage 7: Statutory Security Registration

Within **30 days** of security creation, the issuer files **Form CHG-1** with the Registrar of Companies (ROC) under Section 77 of the Companies Act, 2013, to register the charge. Simultaneously, the charge is registered on the **CERSAI portal** (Central Registry of Securitisation Asset Reconstruction and Security Interest of India) to establish statutory priority over competing creditors.

Stage 8: Debt Listing & Servicing Sweeps

If structured as a listed issuance, the NCDs are listed on the debt segment of BSE, NSE, or India INX / NSE IX at GIFT City IFSC within statutory timelines. Coupon payments and principal redemptions are processed via automated Trust & Retention Account (TRA) escrow sweeps directly to the FPI's SNRR account for outward repatriation.

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Module 4: Underwriting Framework, Credit Sizing & Pricing Mechanics

4.1 Credit Underwriting Metrics & Financial Ratios

Overseas debt investors analyze the borrower's debt capacity and cash flow resilience using stringent quantitative metrics:

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+-----------------------------------------------------------------------------------------------------+
|                          KEY UNDERWRITING RATIOS & BENCHMARKS                                       |
+------------------------------------------------------------------------------ ---------------------+
|                                                                                                     |
|  1. Debt Service Coverage Ratio (DSCR):                                                            |
|     DSCR = (EBITDA - Tax Paid) / (Annual Interest + Principal Amortization)                         |
|     --> Target Benchmark: >= 1.35x (Infrastructure / Industrial)                                    |
|                                                                                                     |
|  2. Total Leverage Ratio:                                                                           |
|     Leverage = Gross Debt / Annualized EBITDA                                                       |
|     --> Target Benchmark: <= 3.50x (Operating Industrial) | <= 4.50x (Infra Assets)                 |
|                                                                                                     |
|  3. Interest Coverage Ratio (ICR):                                                                  |
|     ICR = EBIT / Gross Annual Interest Outflow                                                      |
|     --> Target Benchmark: >= 2.00x                                                                  |
|                                                                                                     |
|  4. Current Ratio (Tandon Committee Second Method Benchmark):                                       |
|     Current Ratio = Total Current Assets / Total Current Liabilities                                |
|     --> Statutory Minimum: >= 1.33:1                                                                |
|                                                                                                     |
|  5. Asset Coverage Ratio (ACR):                                                                     |
|     ACR = Net Encumbered Fixed & Liquid Assets / Total Secured Debt Outstanding                     |
|     --> Target Benchmark: >= 1.50x (150% Security Cover)                                            |
|                                                                                                     |
+-----------------------------------------------------------------------------------------------------+
```

4.2 Tandon Committee Working Capital Maximum Permissible Bank Finance (MPBF)

In structuring debt limits for operating enterprises, debt underwriters apply the historic **Tandon Committee Second Method of Lending** to verify current asset financing stability:

$$extWorkingCapitalGap(WCG) = extTotalCurrentAssets(TCA) - extCurrentLiabilitiesExcl.BankBorrowings(CL)$$

$$extMaximumPermissibleBankFinance(MPBF) = 0.75imesextWCG - extCoreCurrentAssets(CCA)$$

$$extMinimumStipulatedEquityContribution = 0.25imesextTCA \implies extCurrentRatio \geq 1.33:1$$

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4.3 Pricing Mechanics & Gross-Up Formulas

The coupon rate on Foreign Investor Debt Participation is structured as an all-in yield covering base risk-free rates, credit risk premiums, currency hedging costs, and statutory withholding tax (TDS):

$$extAll\ -\ InNominalCouponRate\left(R_{NCD}\right) = extBenchmarkBenchmarkYield\ +\ extCreditRiskSpread\ +\ extLiquidityPremiu$$

Where: * **Benchmark Yield:** 10-Year Indian Government Security (G-Sec) yield (e.g., 6.80% - 7.10%). * **Credit Risk Spread:** Based on internal/external credit rating (e.g., 200 bps to 450 bps). * **Withholding Tax Gross-Up:** Under Section 194LD of the Income Tax Act, 1961, concessional withholding tax of 5% applies to specified FPI debt, while standard Section 195 withholding applies at 20% plus surcharge/cess (or applicable DTAA rate).

When the contract mandates net-of-tax coupon payment to foreign investors, the gross coupon is calculated via the tax gross-up formula:

$$extGrossCouponRate(G) = racextNetAgreedCouponRate(N)1\ -\ t$$

Where t represents the applicable withholding tax rate (e.g., $t\ =\ 0.05$ or $t\ =\ 0.208$).

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Module 5: Suitable Industries, Business Profiles & Market Footprint

Foreign Investor Debt Participation is specifically suited for high-growth sectors, capital-intensive infrastructure projects, and financial institutions operating in India where traditional domestic banking lines are insufficient or constrained by ALM mismatches.



5.1 Market Footprint & Institutional Borrowing Trends

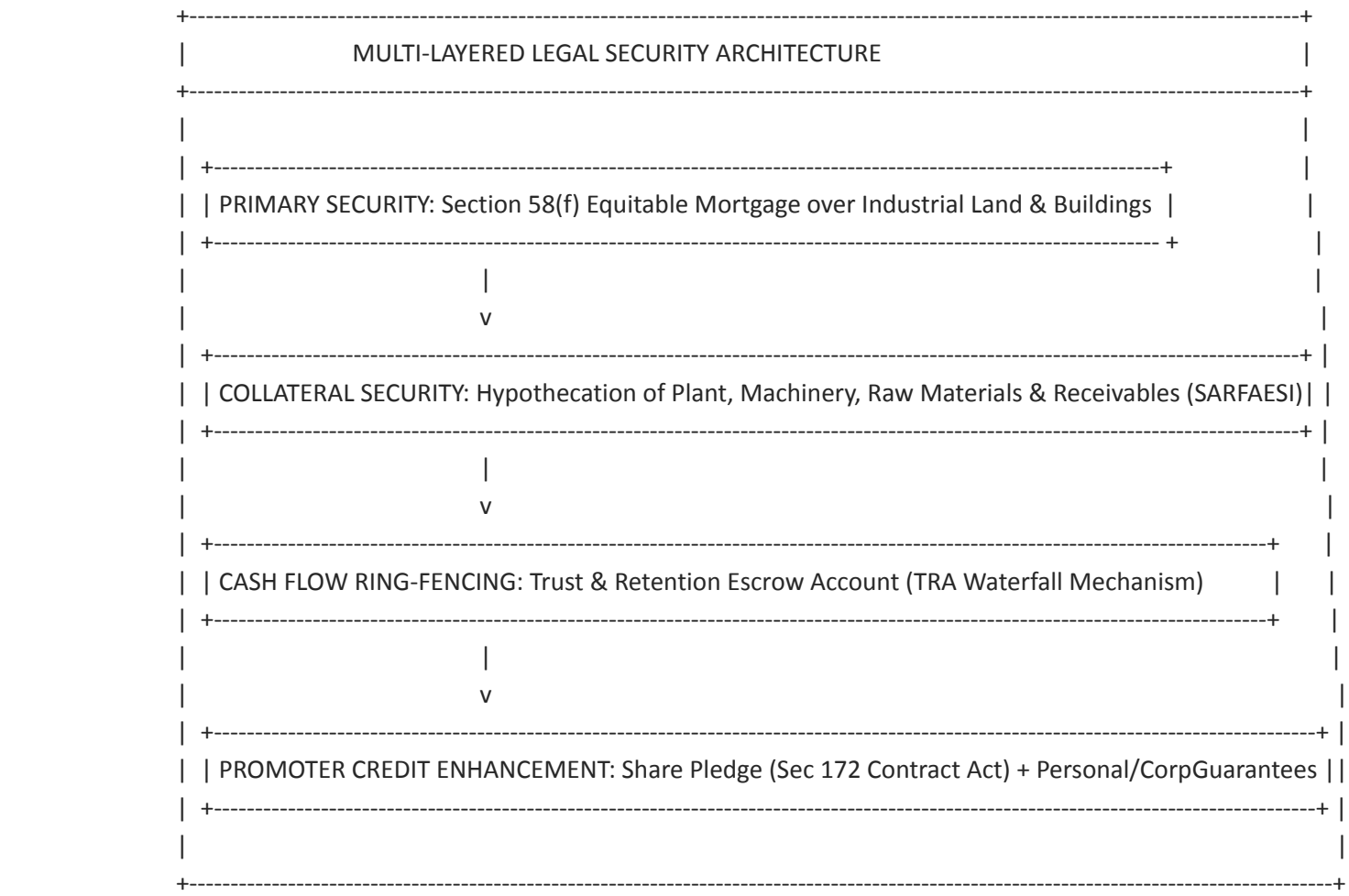
According to national commercial credit data and RBI regulatory disclosures: * **Borrower Concentration:** Retail and wholesale trading, commercial services, and manufacturing enterprises represent over **44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure tier, highlighting the demand for alternative structured credit channels. * **Supply Chain Finance Scale:** Leading Indian commercial banks have scaled digital trade and supply chain portals significantly (e.g., State Bank of India's **e-DFS dealer financing portal reached ₹49,261 Crores** and **e-VFS vendor financing reached ₹28,092 Crores** in active throughput), demonstrating institutional market depth. * **Global Debt Inflows:** Overseas institutional debt participation through FPI debt channels and VRR accounts has surpassed ₹1.5 Lakh Crores in total outstanding holding, driven by sovereign rating stability and inclusion of Indian G-Secs/corporate NCDs in major global debt indices.

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Module 6: Legal Architecture, Security Creation & Covenants

6.1 Core Security Package Architecture

To protect foreign institutional capital, Foreign Investor Debt Participation incorporates a robust multi-layered security and legal architecture governed by Indian statutory laws:



6.2 Key Statutory Enforcement Mechanisms

1. Debenture Trust Deed (DTD) & Companies Act, 2013

Under **Section 71 of the Companies Act, 2013**, read with Companies (Share Capital and Debentures) Rules, 2014, the issuer must execute a binding DTD in Form SH-12 with a SEBI-registered Debenture Trustee. The DTD legally empowers the Trustee to enforce security, accelerate debt, and take over asset management upon default without requiring prior judicial decree.

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2. SARFAESI Act, 2002 Enforcement

Under the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI)**: * Debenture Trustees representing secured debt holders are recognized as “Secured Creditors” under Section 2(1)(zd). * Upon default and issuance of a 60-day demand notice under **Section 13(2)**, if the borrower fails to discharge liability, the Trustee can take physical possession of encumbered assets under **Section 13(4)** and **Section 14** with Chief Metropolitan Magistrate (CMM) or District Magistrate (DM) assistance.

3. Section 172 Indian Contract Act Pledge

Promoter shares pledged as collateral are governed by **Section 172 of the Indian Contract Act, 1872**. Pledged demat shares are held in a pledged status in the depository system (NSDL/CDSL). Upon event of default, the Debenture Trustee can invoke the pledge under **Section 176** and sell shares in the secondary market after giving reasonable notice.

4. Trust & Retention Account (TRA) Escrow Waterfall

All project revenues and receivables are mandatorily deposited into a designated TRA Escrow Account maintained with an AD Cat-I bank. Funds are released strictly in accordance with a statutory payment waterfall: 1. Statutory taxes and statutory dues. 2. Operations & Maintenance (O&M) expenses (within approved annual budget caps). 3. **Senior Debt Coupon & Principal Servicing Sweeps** (NCD Debt Service Account). 4. Debt Service Reserve Account (DSRA) top-up (1 to 2 quarters of interest buffer). 5. Subordinated debt / General corporate purposes (only after debt service verification).

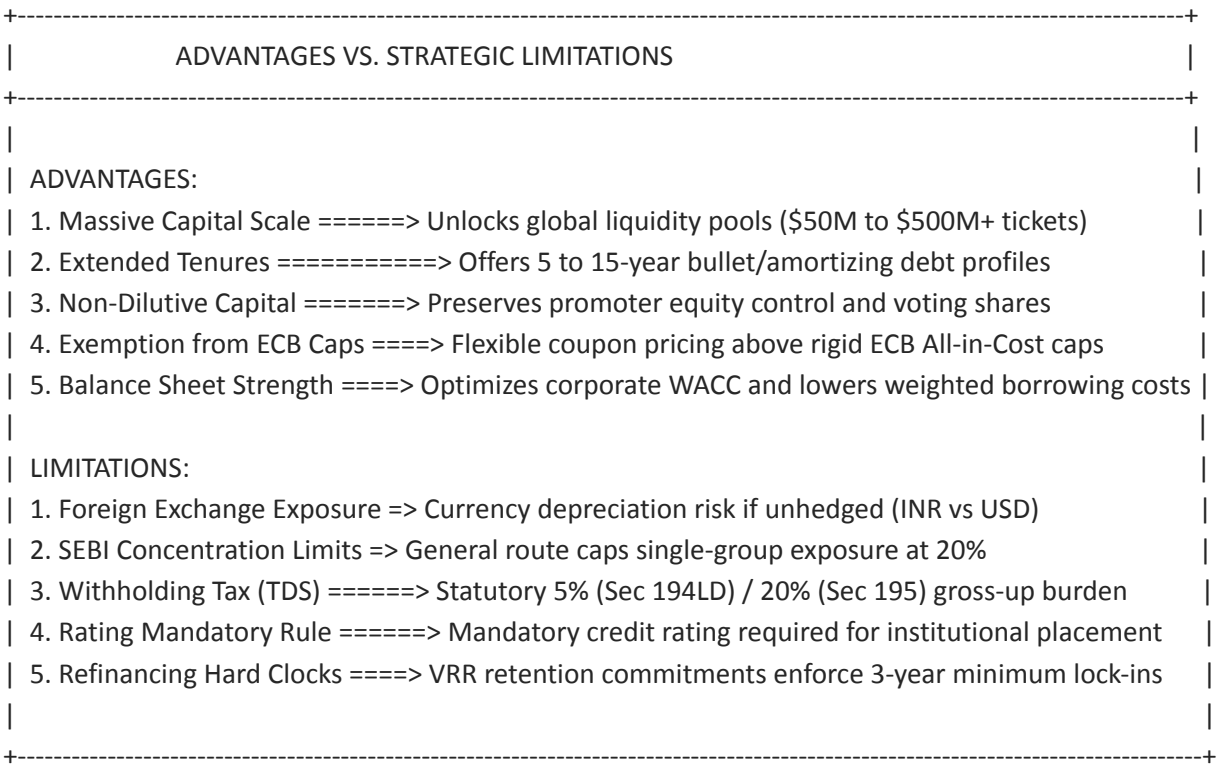
5. Statutory Charge Registration

Within **30 days** of security creation, charge documents must be registered with: * **Registrar of Companies (ROC):** Filing Form CHG-1 under Section 77 of the Companies Act, 2013. * **CERSAI Portal:** Mandatory registration under SARFAESI Section 20 to establish legal priority against third-party claims.

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Module 7: Key Advantages and Strategic Limitations

Foreign Investor Debt Participation delivers significant strategic value to Indian corporate borrowers while presenting distinct operational and regulatory considerations that require proactive risk management.



7.1 Detailed Advantages

1. **Access to Deep Liquidity:** Allows Indian corporates to bypass domestic credit rationing and secure large-ticket debt financing for capital-intensive infrastructure, M&A acquisitions, and refinancing.
2. **Flexible Coupon Structuring:** Unlike ECBs, which are bound by RBI's All-in-Cost ceiling of Benchmark SOFR + 450 bps, FPI debt participation (such as VRR NCDs) permits negotiated risk-based coupon rates reflecting project risk profiles.
3. **No Equity Dilution:** Enables promoters to retain 100% equity upside and governance control while securing long-term debt capital.
4. **Enhanced Credit Reputation:** Successful issuance and listing of NCDs with overseas institutional debt investors establishes international capital market standing, lowering future borrowing costs across global markets.

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7.2 Strategic Risk Mitigation

To mitigate potential risks, corporate borrowers implement disciplined structural safeguards: * **Currency Hedging:** Exporters utilize natural hedges (foreign currency revenues matching debt service), while domestic-earning entities execute Cross-Currency Swaps (CCS) or Coupon-Only Swaps (COS) through AD Cat-I banks. * **VRR Route Utilization:** Opting for the Voluntary Retention Route eliminates the 20% single-group concentration cap and 1-year residual maturity restriction.

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Module 8: Regulatory Compliance, RBI Directions, SEBI FPI Rules & IBC Insolvency

8.1 RBI & SEBI Regulatory Compliance Architecture

Foreign Investor Debt Participation operates under a strictly monitored statutory framework:

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|                    STATUTORY COMPLIANCE ARCHITECTURE                                                          |
+-------------------------------------------------------------------------------------------------------------- ------+
|                                                                                                                |
| 1. FEMA 1999 & RBI FPI Directions:                                                                             |
|    * FPI investments monitored via Custodian Banks & Designated Depository Participants (DDPs).               |
|    * Reporting via FIRMS Portal / Special Non-Resident Rupee (SNRR) Account statements.                        |
|                                                                                                                |
| 2. SEBI (Issue & Listing of Non-Convertible Securities) Regulations, 2021:                                     |
|    * Mandatory appointment of Debenture Trustee (SH-12).                                                       |
|    * Mandatory Rating by SEBI-registered agency (CRISIL/ICRA/CARE/India Ratings).                              |
|    * Electronic Book Building (EBP) platform compliance for private placements > Rs 20 Crores.                 |
|                                                                                                                |
| 3. Income Tax Act, 1961 Compliance:                                                                            |
|    * Section 194LD: Concessional 5% TDS on interest payable to FPIs/FVCIs on G-Secs/NCDs.                     |
|    * Section 195: Standard withholding tax on non-resident payments (subject to DTAA rates).                   |
|    * Section 36(1)(iii): 100% Tax deduction on corporate interest expenses.                                    |
|                                                                                                               |
| 4. RBI Asset Classification & IRACP Norms:                                                                     |
|    * SMA-0 (1-30 Days overdue), SMA-1 (31-60 Days), SMA-2 (61-90 Days).                                        |
|    * Non-Performing Asset (NPA) classification upon 90 days interest/principal default.                        |
|                                                                                                                |
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8.2 Insolvency & Bankruptcy Code, 2016 (IBC) Enforcement

In the event of default on NCD coupon or principal repayments, foreign debt participants—represented by their SEBI-registered Debenture Trustee—enjoy full legal rights as **Financial Creditors** under the **Insolvency and Bankruptcy Code, 2016 (IBC)**:

- **Financial Creditor Status:** Under **Section 5(8)(c)** (amounts raised pursuant to issue of debentures) and **Section 5(8)(d)** (acceptances / credit facilities), NCD holders are classified as Financial Creditors.

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- **Section 7 CIRP Initiation:** Upon default exceeding the statutory threshold (₹1 Crore), the Debenture Trustee can file an application under **Section 7 of the IBC** before the National Company Law Tribunal (NCLT) to initiate the Corporate Insolvency Resolution Process (CIRP).
- **Committee of Creditors (CoC) Voting:** As secured financial creditors, foreign debt participants hold proportional voting rights in the CoC under **Section 21 of the IBC**, approving or rejecting resolution plans, or enforcing liquidation under **Section 53** (where secured creditors enjoy priority over operational creditors and government dues).

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Module 9: Comprehensive Real-World Case Study

9.1 Corporate Background & Project Overview

Borrower Entity: *Mumbai International Debt Participation & Infra SPV Ltd. (MIDPISL)*, a special purpose vehicle developing a 300 MW Hybrid Solar-Wind Power Project in Kutch, Gujarat. * **Total Project Cost:** ₹400 Crores ($48.19 Million USD at USD/INR = 83.00). * **Project Equity Subscribed by Promoters (25%):** ₹100 Crores ($12.05 Million USD). * **Debt Funding Required (75% LTV): ₹300 Crores ($36.14 Million USD)**. * **PPA Offtaker:** SECI (Solar Energy Corporation of India) under a 25-Year Long-Term Power Purchase Agreement at a fixed tariff of ₹2.65 / kWh. * **Expected Annual Project EBITDA:** ₹48.00 Crores.

MIDPISL FINANCING STRUCTURAL COMPARISON		
PROJECT COST: ₹400 CRORES	EQUITY: ₹100 CRORES (25%)	DEBT NEEDED: ₹300 CRORES (75%)
PATHWAY A: DOMESTIC BANK CONSORTIUM LOAN		**PATHWAY B: STRUCTURED FPI VRR DEBT NCD**
* Coupon: 12.50% p.a. Floating		* Coupon: 9.25% p.a. Fixed (5-Yr NCDs)
* Tenure: 5-Yr Amortizing (No Moratorium)		* Tenure: 5-Yr Bullet (2-Yr Moratorium)
* Year-1 Principal Repayment: ₹60.00 Crores		* Year-1 Principal Repayment: ₹0.00
* Year-1 Debt Service: ₹97.50 Crores		* Year-1 Debt Service: ₹27.75 Crores
* Year-1 EBITDA: ₹48.00 Crores		* Year-1 EBITDA: ₹48.00 Crores
* Year-1 Cash Deficit: -₹49.50 Crores (DEFICIT)		* Year-1 Cash Surplus: +₹20.25 Crores
* Year-1 DSCR: 0.49x (INSOLVENCY RISK!)		* Year-1 DSCR: 1.73x (PRIME COMFORT!)

9.2 Financial Modeling & Cost-Benefit Analysis

Pathway A: Domestic Bank Consortium Loan

- Debt Sized: ₹300.00 Crores @ 12.50% p.a.
- Repayment Schedule: Straight line 5-year amortization (₹60.00 Crores principal per year).
- Year-1 Interest Outflow: $₹300.00 extCrores times 12.50\% = ₹37.50 extCrores$.
- Year-1 Principal Repayment: ₹60.00 Crores.
- Total Year-1 Cash Debt Service: $₹37.50 + ₹60.00 = ₹97.50 extCrores$.
- Year-1 EBITDA Available: ₹48.00 Crores.

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- Year-1 Cash Net Position:
  $₹48.00 - ₹97.50 = -₹49.50 extCrores (INSOLVENCY DEFICIT!) coll.$
- Year-1 DSCR: $rac{₹48.00}{₹97.50} = $ *(Distressed leverage failure)*.
- 5-Year Cumulative Pre-Tax Interest Outflow:
  - Year 1: ₹37.50 Cr | Year 2: ₹30.00 Cr | Year 3: ₹22.50 Cr | Year 4: ₹15.00 Cr | Year 5: ₹7.50 Cr = **₹112.50 Crores**.
- Section 36(1)(iii) Income Tax Shield (@ 25.17% corporate tax rate):
  $- ₹112.50 times 25.168\% = -₹28.31 extCrores.$
- Net 5-Year Post-Tax Interest Servicing Cost: $₹112.50 - ₹28.31 = ₹84.19 extCrores.$

Pathway B: Structured FPI VRR Debt Participation (5-Year INR NCDs)

- Overseas FPI Investor: European Infrastructure Debt Fund via Voluntary Retention Route (VRR).
- Instrument: 5-Year Senior Secured Listed INR Non-Convertible Debentures (NCDs).
- Coupon Rate: 9.25% p.a. Fixed (Payable semi-annually).
- Principal Amortization: 2-Year Grace Period (Moratorium), followed by 3-year structured principal repayment (Year 3: ₹60Cr, Year 4: ₹120Cr, Year 5: ₹120Cr).
- Year-1 Interest Outflow: $₹300.00 extCrores times 9.25\% = ₹27.75 extCrores.$
- Year-1 Principal Repayment: **₹0.00 (Moratorium)**.
- Total Year-1 Cash Debt Service: $₹27.75 extCrores.$
- Year-1 EBITDA Available: ₹48.00 Crores.
- Year-1 Cash Surplus Retained:
  $₹48.00 - ₹27.75 = + ₹20.25 extCrores (SOLVENT SURPLUS!).$
- Year-1 DSCR: $rac{₹48.00}{₹27.75} = $ *(Prime investment grade comfort)*.
- 5-Year Cumulative Pre-Tax Interest Outflow:
  - Year 1: ₹27.75 Cr | Year 2: ₹27.75 Cr | Year 3: ₹25.00 Cr | Year 4: ₹16.65 Cr | Year 5: ₹5.55 Cr = **₹102.70 Crores**.
- Section 36(1)(iii) Income Tax Shield (@ 25.17% rate):
  $- ₹102.70 times 25.168\% = -₹25.85 extCrores.$
- Net 5-Year Post-Tax Interest Servicing Cost: $₹102.70 - ₹25.85 = ₹76.85 extCrores.$
- **Direct Post-Tax Interest Savings vs Pathway A:** $₹84.19 - ₹76.85 = + ₹7.34 extCrores.$
- **ROCE Reinvestment Income Earned on Retained Cash:**

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  - Reinvesting the Y1 & Y2 preserved cash flow (₹20.25 Cr/year) into operational expansion @ 16.00% p.a. ROCE yields **+₹19.44 Crores** in post-tax net income offset over 5 years.

- **NET STRATEGIC FINANCIAL WEALTH SURPLUS GENERATED:**

$$extNetSurplus = extDirectInterestSavings(+ ₹7.34extCr) + extReinvestmentROCEIncome(+ ₹19.44extCr) =+ ₹26.78extCRORES$$

9.3 Summary Recommendation

By selecting Pathway B (Foreign Investor Debt Participation via FPI VRR NCDs), MIDPISL achieves three critical objectives: 1. **Prevents Year-1 Insolvency:** Avoids a disastrous **₹49.50 Crore Year-1 cash deficit** inherent in domestic bank financing. 2. **Upgrades Credit Rating:** Raises Year-1 DSCR from a failing 0.49x to a prime **1.73x**. 3. **Generates Wealth Surplus:** Unlocks a net strategic financial surplus of **₹26.78 Crores (+₹26,78,00,000.00)** over 5 years, positioning the enterprise for long-term expansion!

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Module 10: Professional Certification Examination & Detailed Rationales

Examination Questions

Question 1

What is the minimum committed retention period required under the Reserve Bank of India's Voluntary Retention Route (VRR) for Foreign Portfolio Investors (FPIs)? A) 1 Year B) 2 Years C) 3 Years D) 5 Years

Question 2

Under Section 194LD of the Income Tax Act, 1961, what is the concessional rate of withholding tax (TDS) applicable on interest income payable to FPIs on specified corporate Non-Convertible Debentures (NCDs)? A) 2% B) 5% C) 10% D) 15%

Question 3

Under Section 77 of the Companies Act, 2013, within how many days must a company file Form CHG-1 with the Registrar of Companies (ROC) to register a charge created for NCD security? A) 15 Days B) 30 Days C) 45 Days D) 60 Days

Question 4

Under the Tandon Committee Second Method of Lending for working capital estimation, what is the minimum required Current Ratio benchmark? A) 1.00:1 B) 1.20:1 C) 1.33:1 D) 1.50:1

Question 5

What is the primary exemption granted to FPIs investing in Indian corporate debt through the Voluntary Retention Route (VRR) compared to the General FPI Debt Route? A) Exemption from corporate income tax B) Exemption from the 20% single-group concentration cap and 1-year residual maturity restriction C) Exemption from appointing a Debenture Trustee D) Exemption from SEBI registration requirements

Question 6

Under Section 13(2) of the SARFAESI Act, 2002, what is the mandatory notice period granted to a defaulting borrower before a Debenture Trustee can take physical possession of encumbered security? A) 15 Days B) 30 Days C) 60 Days D) 90 Days

Question 7

Which specialized non-resident rupee account is opened by an FPI with an Authorised Dealer Cat-I bank in India for handling debt subscription inward funds and outward coupon repatriation? A) NRE Account B) NRO Account C) Special Non-Resident Rupee (SNRR) Account D) EEFC Account

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Question 8

Under the Insolvency and Bankruptcy Code, 2016 (IBC), under which section are NCD holders (represented by their Debenture Trustee) classified as Financial Creditors entitled to initiate CIRP? A) Section 3 B) Section 5(8)(c) & Section 7 C) Section 14 D) Section 29A

Question 9

In calculating the Debt Service Coverage Ratio (DSCR), which formula accurately reflects debt servicing ability? A) DSCR = Net Profit / Total Assets B) DSCR = (EBITDA - Tax Paid) / (Annual Interest + Principal Repayment) C) DSCR = Current Assets / Current Liabilities D) DSCR = Gross Revenue / Gross Debt

Question 10

If an Indian corporate issues 5-year NCDs to a foreign investor at a net agreed coupon rate of 9.50% p.a., and Section 195 withholding tax applies at 20% (grossed up), what is the gross pre-tax coupon rate payable by the issuer? A) 11.00% p.a. B) 11.875% p.a. C) 12.50% p.a. D) 13.25% p.a.

Detailed Answer Rationales & Statutory References

Answer 1: C) 3 Years

Rationale: Under RBI's Voluntary Retention Route (VRR) operational guidelines, FPIs must commit to retain a minimum of 75% of their allocated investment amount in Indian debt securities for a committed retention period of at least **3 years**.

Answer 2: B) 5%

Rationale: Section 194LD of the Income Tax Act, 1961, provides a concessional withholding tax (TDS) rate of **5%** (plus applicable surcharge and cess) on interest income payable to FPIs and FVCIs on rupee-denominated corporate bonds and government securities.

Answer 3: B) 30 Days

Rationale: Section 77(1) of the Companies Act, 2013, mandates that every company creating a charge on its property or assets must file Form CHG-1 with the Registrar of Companies (ROC) within **30 days** of creation of the charge.

Answer 4: C) 1.33:1

Rationale: The Tandon Committee's Second Method of Lending stipulates that the borrower must contribute at least 25% of Total Current Assets from long-term funds (equity/net working capital), establishing a statutory minimum Current Ratio of **1.33:1**.

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Answer 5: B) Exemption from the 20% single-group concentration cap and 1-year residual maturity restriction

Rationale: In exchange for a committed 3-year retention period, RBI's VRR route exempts FPIs from macro-prudential caps applicable under the General Route, including the **20% single-group concentration ceiling** and the **1-year minimum residual maturity rule**.

Answer 6: C) 60 Days

Rationale: Section 13(2) of the SARFAESI Act, 2002, requires the secured creditor (or Debenture Trustee) to issue a formal **60-day demand notice** to the defaulting borrower before initiating enforcement actions under Section 13(4).

Answer 7: C) Special Non-Resident Rupee (SNRR) Account

Rationale: Foreign Portfolio Investors operate a **Special Non-Resident Rupee (SNRR) Account** maintained with an AD Cat-I Bank in India, strictly dedicated to foreign inward currency conversion, debt security subscription, and outward repatriation of interest and principal.

Answer 8: B) Section 5(8)(c) & Section 7

Rationale: Under **Section 5(8)(c)** of the IBC, 2016, any amount raised pursuant to the issue of debentures is defined as a financial debt, making NCD holders Financial Creditors entitled to initiate the Corporate Insolvency Resolution Process under **Section 7**.

Answer 9: B) DSCR = (EBITDA - Tax Paid) / (Annual Interest + Principal Repayment)

Rationale: The standard Debt Service Coverage Ratio (DSCR) measures the operational cash flow available after tax to service total annual debt obligations, calculated as $ ext{DSCR} = rac{ ext{EBITDA} - ext{Tax Paid}}{ ext{Annual Interest} + ext{Principal Amortization}}$.

Answer 10: B) 11.875% p.a.

Rationale: Applying the tax gross-up formula:

$extGrossCouponRate(G) = racextNetAgreedCouponRate1 - t = rac9.50\%1 - 0.20 = rac9.50\%0.80 = 11.875\%extp.$

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